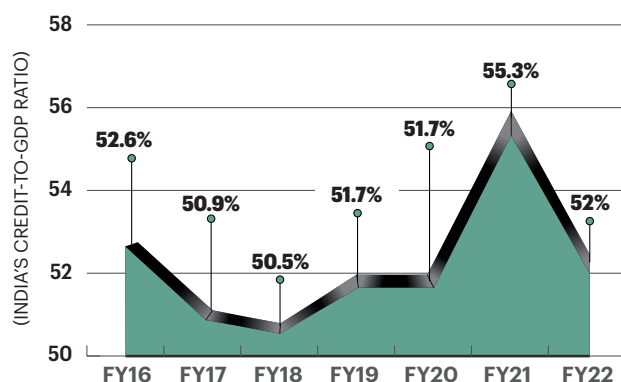


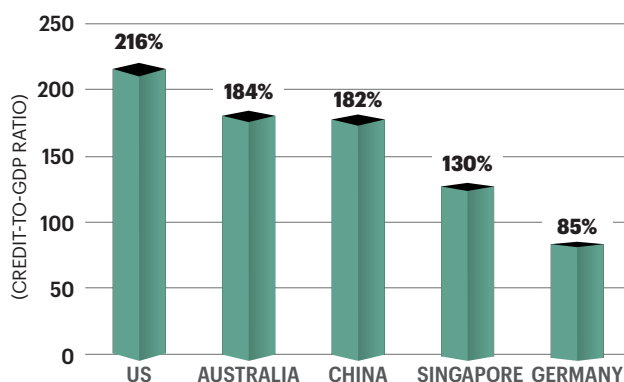
LOOKING FOR AN OPENING

Despite financial inclusion initiatives, India's credit-to-GDP ratio has remained stagnant...



SOURCE RBI

...but sensing the huge credit opportunity in the country, unlike in other economies, new players aspire to bridge the gap



ACCORDING TO MOST RECENT DATA; SOURCE WORLD BANK

52 | a conscious call of looking at the credit-tested and the most premium of the customer segments,” says Manish Chaudhari, President and Chief of Staff at Poonawalla Fincorp. The lockdown was a blessing in disguise. “That’s when we got the confidence that a digital model with a focussed business strategy is sustainable and profitable for us,” he adds. The company was initially focussed on cracking the difficult unsecured loans business. That was when it stumbled upon Magma Fincorp, which it lapped up for ₹3,456 crore. Magma had a loan book of ₹15,000 crore and was into commercial assets, agri finance, SMEs, mortgage and general insurance, with a network of 298 branches and a presence in 21 locations. It provided an ideal vehicle for the company to expand from unsecured to secured products like loans against property, machinery loans, and equipment loans, which it was planning to add before the acquisition.

As for DBS, it was expanding its branch and kiosk network just before it acquired LVB. It had announced 110-220 touch points, including 40 branches and approximately 80 e-kiosks a year before the pandemic struck. When the LVB opportunity came, the bank jumped in. “We felt that in the longer run, we will be able to absorb some of the challenges that a bank like LVB was facing,” says Surojit Shome, MD & CEO of DBS Bank India.

When the Piramals started thinking about scaling

up their retail business, they were also looking for an acquisition target with three main characteristics: a loan book of ₹20,000 crore-plus; secured retail assets; and geographical presence in untapped smaller towns and cities. And DHFL was the perfect fit. Ajay Piramal, often referred to as the master of acquisitions, had some simple advice for his senior management. “Go beyond the headlines and dig deeper to see if there is some new insight,” he told them. And they did just that. “Our core thesis for buying DHFL is not to maximise the pickings from the whole portfolio; it is about getting access to infrastructure, and being able to build a new business on top of it,” says Sridharan.

SYNERGY PLUS

For many of the big names entering the space, it is also a means of synergy between different arms of their business. That was evident when Godrej Properties Executive Chairman Pirojsha Godrej, while launching the group’s foray into the financial space, said Godrej Capital will form a key pillar in the overall growth of the group. Godrej Industries is the holding company of Godrej Capital, which, in turn, owns Godrej Housing and Godrej Finance. “We are getting to build a start-up in a 125-year-old group... There is a very clear, long-term, multi-decadal focus,” says Godrej Capital’s Shah.